

## Sustainability-Related Disclosures

### Article 10 SFDR – Sustainability-Related Information About Financial Products That Promote Environmental or Social Characteristics

Earlybird Health Management GmbH & Co. KG (“**Earlybird Health**”), LEI: 391200NG6286QYE23A35, is the alternative investment fund manager of Earlybird Health II Fund GmbH & Co. KG (“**Earlybird Health II**”), LEI: 391200EBLK1TCES9QI93, within the meaning of the German Investment Code (*Kapitalanlagegesetzbuch*) and the EuVECA-Regulation and as such publishes the following information in light of the consideration of sustainability-related aspects in accordance with Regulation (EU) 2019/2088 of the European Parliament and of the Council of 27 November 2019 on sustainability disclosure requirements in the financial services sector (“**SFDR**”).

#### Summary

This financial product promotes environmental or social characteristics but does not have as its objective a sustainable investment within the meaning of Article 2 No. 17 SFDR. The promoted characteristics are investment restrictions as well as the consideration of certain Sustainable Development Goals of the United Nations. 100% of the investments will be in line with its investment strategy and investment restrictions.

No reference benchmark has been designated to attain the environmental or social characteristics promoted by the financial product.

#### *Zusammenfassung*

*Dieses Finanzprodukt bewirbt ökologische oder soziale Merkmale, strebt aber keine nachhaltigen Investitionen im Sinne der Definition des Artikel 2 Nr. 17 SFDR an. Bei den beworbenen Merkmalen handelt es sich um Ausschlusskriterien sowie die Berücksichtigung bestimmter Ziele für nachhaltige Entwicklung der Vereinten Nationen. 100 % der Investitionen werden im Einklang mit der Anlagestrategie und den Anlagebeschränkungen getätigt.*

*Es wurde kein Referenzwert benannt, um die mit dem Finanzprodukt beworbenen ökologischen oder sozialen Merkmale zu erreichen.*

#### No Sustainable Investment Objective

This financial product promotes environmental or social characteristics, but does not have as its objective sustainable investment.

## Environmental or Social Characteristics of the Financial Product

### Investment Restrictions:

Earlybird Health II will not invest, guarantee or otherwise provide financial or other support, directly or indirectly, to companies or other entities whose business activity consists of:

- an illegal economic activity (including without limitation, human cloning for reproduction purposes);
- the production of and trade in tobacco and distilled alcoholic beverages and related products;
- the production of and trade in weapons and ammunition of any kind;
- casinos and equivalent enterprises; or
- the research, development or technical applications relating to electronic data programs or solutions, which
  - aim specifically at supporting any activity referred to above; internet gambling and online casinos; or pornography; or which
  - are intended to enable to illegally enter into electronic data networks; or download electronic data.

### Other:

Investments aim to contribute to the achievement of the United Nations Sustainable Development Goals (“**SDG**”), in particular:

- SDG 3: Good Health and Wellbeing
- SDG 5: Gender Equality
- SDG 8: Decent Work and Economic Growth
- SDG 12: Responsible Consumption and Production
- SDG 17: Partnerships for the Goals

## Investment Strategy

The purpose of Earlybird Health II is to build, hold and manage in its own name and for its own account a portfolio of equity and equity-related investments in companies originating primarily in Europe and engaged in the health sector.

As part of the due diligence and ongoing investment management, the investment team will review whether a potential investee company has good governance practices in place.

## **Proportion of Investments**

Earlybird Health II will only make investments aligned with the promoted environmental or social characteristics. Earlybird Health II will not invest a portion of its capital in any other asset class.

## **Monitoring of Environmental or Social Characteristics**

No investments will be made in the area of exclusions. That strategy is implemented during the due diligence process, where all investments that are subject to a restriction are ruled out.

The SDGs as described above are evaluated in the investment process. In case of similar expected returns, the more impactful investment will be selected. Where the investments might have a negative impact on a SDG an investment will not be further considered without cure or adequate mitigation.

Earlybird Health follows the guidelines of the Global Reporting Initiative (GRI) and is a signatory with the United Nations Principles for Responsible Investment (UN PRI).

## **Methodologies for Environmental or Social Characteristics**

Earlybird Health II integrates ESG considerations throughout the investment process:

- ESG matters are part of Earlybird Health II's screening process and Earlybird Health II raises the awareness of the investment team and the company to consider ESG aspects in their evaluation and to raise red flags early in the investment process.
- As part of the evaluation of a company, an ESG questionnaire needs to be completed. The questionnaire aims at confirming that the company does not have any red ESG risk issues or issues that can't be mitigated. The questionnaire is further used to assess the baseline of the company with regard to ESG and its overall impact as well as to identify focus areas for development and improvement.
- Earlybird Health II includes a sustainability clause in all new investment agreements. The company commits to developing and implementing an ESG strategy within three months of closing and a diversity policy within six months of closing.
- During the investment phase, the company will be required to submit the updated ESG questionnaire on an annual basis and investment managers of Earlybird Health II review the provided data and follow-up if necessary.

## **Data Sources and Processing**

Data is mainly obtained from the portfolio companies directly through the ESG questionnaire and its set of indicators as well as via continuous exchange on the subject but can be supplemented by information that is publicly available.

## **Limitations to Methodologies and Data**

In most cases, Earlybird Health is reliant on the information provided by (potential) portfolio companies. Due to the nature of the investments complete data may not always be available. The information is verified only if and to the extent misrepresentations are suspected.

## **Due Diligence**

All of Earlybird Health II's investment decisions are based on a thorough screening that includes ESG due diligence. In this context, Earlybird Health II assesses a company's legal compliance as well as compliance with other applicable standards and practices, including potential future regulations and marketplace factors. For all data used during the due diligence, Earlybird Health II mainly relies on information provided by the companies. Earlybird Health II will engage with external (data-) providers to develop a further reaching due diligence in cases where more information is needed to validate the investment. The due diligence process is not externally monitored.

## **Engagement Policies**

Earlybird Health II invests in start-up companies in their early stages which means that usually the companies are in a pre-market phase and the teams consist mainly of the founders. Earlybird Health II considers it a priority to establish and maintain a trustful and collaborative working relationship with all portfolio companies. Furthermore, Earlybird Health II wants to generate a positive impact beyond its portfolio companies and shares learnings and insights, cooperating with other venture capital firms as well as public institutions and foundations, in order to advance the whole ecosystem. Yet, if Earlybird Health II encounters potential non-compliances with the ESG strategy of Earlybird Health II, Earlybird Health II will seek dialogue with the respective portfolio company and collaboratively develop mitigation measures. As a venture capital investor, the influence Earlybird Health II has on its portfolio companies through its shareholdings, however, is limited but dialogue is sought with all stakeholders on a continuous basis.

*Updated 27 January 2025 to reflect updated internal policies.*